

Luca Zanolli

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Fields

Macroeconomics, Monetary Economics, Public Debt

Education

Northwestern University Ph.D. in Economics	Evanston, IL, USA 2023-
Northwestern University M.A. in Economics	Evanston, IL, USA 2023-2024
Bocconi University M.Sc. in Economics and Social Sciences	Milan, Italy 2020-2023
Bocconi University B.Sc. in International Politics and Government	Milan, Italy 2017-2020

Fellowships & Awards

Bank of Italy Stringher, Mortara, and Menichella Internship , Bank of Italy	2025-2026
Unicredit Crivelli Europe Scholarship , Unicredit	2023-2025
IGIER Visiting Student, Professor Guido Tabellini , Bocconi University	2021-2023
Bocconi Graduate Merit Award , Bocconi University	2020-2023
Exchange Student , Princeton University	2019-2020

Research Experience

Bank of Italy Visiting PhD Student	Rome, Italy Winter 2026
Northwestern University Research Assistant, Prof. Diego Kaenzig	Evanston, IL, USA 2024-
Northwestern University Research Assistant, Prof. Matthew Rognlie	Evanston, IL, USA Summer 2024
Bocconi University Research Assistant, Prof. Guido Tabellini	Milan, Italy 2022-2023
Harvard Business School Research Assistant, Prof. Paola Giuliano and Marco Tabellini	Boston, MA, USA 2022-2023
Princeton University Research Assistant, Prof. Jacob Shapiro	Princeton, NJ, USA 2019-2021

Policy Experience

European Commission Economic Consultant for DG Grow	Brussels, Belgium 2021-2022
European Commission Intern for DG ECFIN	Brussels, Belgium Summer 2021

Working Papers

Why the Federal Reserve Cuts Rates when Public Debt Rises, with *Andrea Ferrara*

Abstract: We document a new fact: conditional on inflation and output, the Federal Reserve tends to lower its policy rate when the U.S. public debt-to-GDP ratio rises. To explain this pattern, we develop and estimate a New Keynesian model with shocks to households' demand for public debt. These shocks generate a negative comovement between public debt and the natural rate of interest, defined as the real rate that would prevail in the flexible-price economy. Assuming that the Federal Reserve adjusts its policy rate in line with the natural rate, this mechanism rationalizes the negative relationship between debt and the policy rate. We show that shocks to the demand for public debt are a key driver of business-cycle fluctuations and that policy rules responding to the natural rate reduce the volatility of inflation and output relative to standard rules. We further construct a debt-informed measure of the natural rate using a time-varying parameter vector autoregression model. Once this measure is included in the policy rule, an increase in the debt-to-GDP ratio no longer reduces the federal funds rate, consistent with the mechanism highlighted by the model.

Debt Management meets Monetary Policy: The Rise of the Long End, with *Hiroaki Endo, Kevin Pallara, and Massimiliano Sfragola*

Abstract: Do debt management decisions have macroeconomic effects comparable to monetary policy? Using high-frequency movements in interest rate futures around U.S. Treasury issuance announcements, we identify a *Treasury policy shock*—an unanticipated change in public debt supply across maturities. A shock that raises the five-year Treasury yield transmits strongly to corporate borrowing rates, tightens credit conditions, and lowers industrial production significantly. These effects closely mirror those of a conventional monetary policy tightening. While long-term treasury yields increase significantly, the shock has minimal effects on short-term interest rates. We show that this pattern reflects the Federal Reserve's sterilization of short-term Treasury issuance, while issuance at longer maturities is only partially offset.

Policy Work

European Single Market: a History of Integration, with *Pierfederico Asdrubali and Paolo Pasimeni*

Description: We build a bilateral dataset for the period 1957-2022 of indicators on the four freedom of movements of the European Single Market: goods, services, capital, and people. To our knowledge, this is the first comprehensive dataset tracking the evolution of European integration since the Treaty of Rome up until today.

Programming

Python, Matlab, Stata, LaTeX

Languages

English (fluent), Italian (native), Spanish (intermediate)

Personal information

Born: January 18, 1999. Nationality: Italian